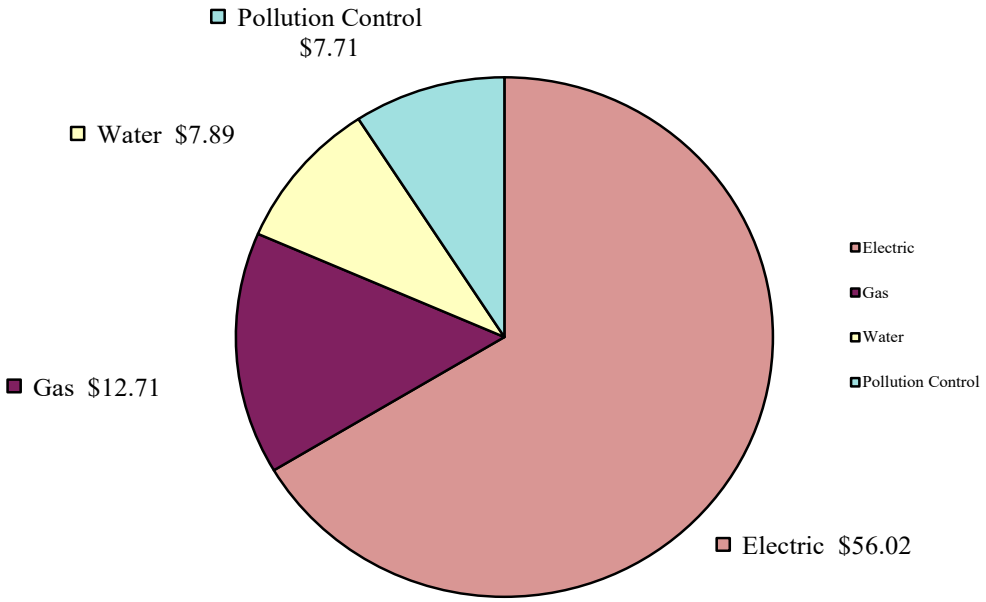
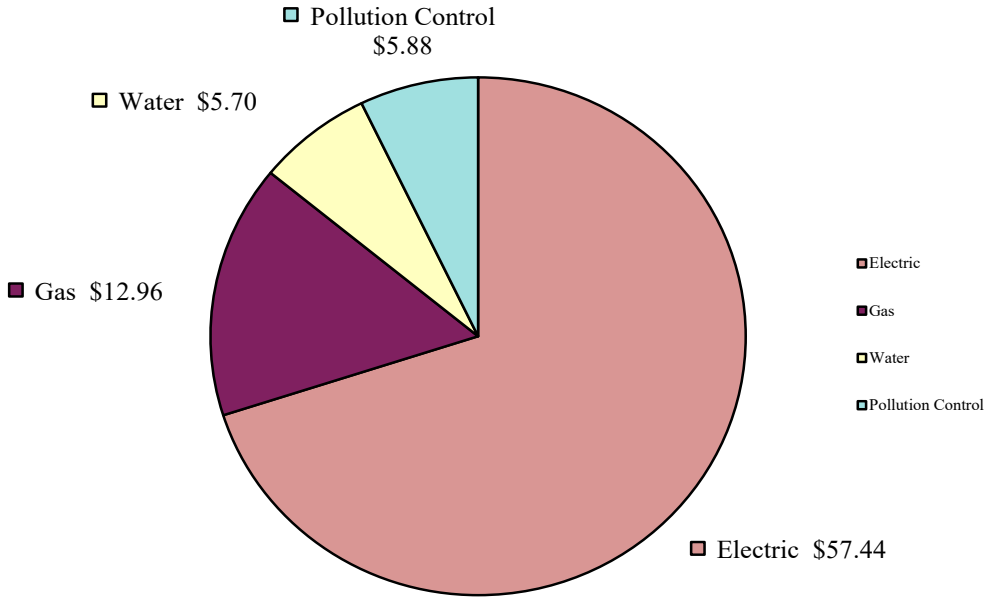
2023 OPERATING REVENUE BY DEPARTMENT (dollars in millions)



2023 OPERATING EXPENSES BY DEPARTMENT (dollars in millions)



PAYMENTS IN LIEU OF TAXES

Transfers of payments in lieu of taxes to the City of Hastings are a huge benefit of local ownership of the utility system. Since HU is a part of the City of Hastings, it does not pay any property taxes, as would be the case if the system were privately owned. Therefore, it has been a longstanding practice of HU to transfer revenues to the City's general fund. The transfers ensure that the other essential service areas provided by the City do not suffer as a result of public ownership of HU. Factors that drive an increase or decrease in transfer payments include the levels of utility service used by HU's customer base (see Note C6).

MISCELLANEOUS REVENUES AND EXPENSES

As a whole, non-operating income increased $2.39M, while non-operating expenses increased $0.10M. Non-operating revenues include interest income, participation and capacity agreement income, coal sales, jobbing reimbursements, reimbursement for services provided to PPGA, and miscellaneous income. Non-operating expenses include interest expense, loss on disposal of assets, economic development expenses, cost of coal, jobbing and services to PPGA (see Note D3).

CAPITAL ASSETS

A major philosophy of HU's approach to delivering its services is staying ahead of the "reliability curve". Delivery networks and facilities are constantly evaluated to determine if they are capable of supplying needed services now and into the future, resulting in extensive capital additions in the past years. Total utility plant in service increased from $375.77M in 2022 to $378.83M in 2023, an increase of $3.06M. After depreciation and including construction in progress, net utility plant increased from $162.68M in 2022 to $177.51M in 2023, an increase of $14.83M.

Significant capital expenditures during the year ended September 30, 2023 included:

- Gas mains and services - $329,205
- Water meters - $277,765
- Modify RBC building and HVAC improvements - $390,698
- Fisher Fountain improvements - $651,290
- Electric distribution poles, conductor, underground improvements - $1,086,718
- Electric line transformers - $280,586
- Construction in progress on electric projects - $11,113,794
- Construction in progress on water projects - $2,352,186
- Construction in progress on sewer projects - $2,576,764
- Construction in progress on admin projects - $2,243,240

CITY OF HASTINGS, NEBRASKA
UTILITY DEPARTMENTS

STATEMENTS OF NET POSITION

September 30,

	Electric Fund	
	2023	2022
ASSETS		
Current assets:		
Cash and cash equivalents	$ 41,293,588	$ 44,736,001
Investments	8,795,284	10,793,954
Accounts receivable	6,169,773	6,229,359
Interest receivable	75,792	27,695
Interfund receivable (payable)	(15,682,765)	(12,993,681)
Inventory	9,131,020	6,022,057
Total current assets	49,782,692	54,815,385
Noncurrent assets:		
Restricted cash and cash equivalents	1,332,500	1,268,975
Capital assets:		
Construction in progress	15,235,409	4,121,614
Electric	204,271,391	208,964,121
Gas	-	-
Water	-	-
Pollution control	-	-
Administrative	-	-
Less accumulated depreciation	(140,495,521)	(141,487,757)
Subtotal	79,011,279	71,597,978
Non-utility plant	15,866,333	15,866,333
Less accumulated depreciation	(8,687,787)	(8,077,851)
Net capital assets	86,189,825	79,386,460
Total noncurrent assets	87,522,325	80,655,435
Total assets	137,305,017	135,470,820
LIABILITIES		
Current liabilities:		
Accounts payable	8,723,113	7,829,257
Accrued payroll expenses	347,952	284,148
Accrued interest payable	-	-
Sales tax payable	28,548	7,697
Customer deposits	-	-
Current portion of long-term debt	-	-
Total current liabilities	9,099,613	8,121,102
Noncurrent liabilities:		
Compensated absences	1,673,998	1,607,433
Accrued emissions fees	30,386	93,727
Accrued ash disposal fees	1,475,077	1,411,553
Noncurrent portion of long-term debt	-	-
Total noncurrent liabilities	3,179,461	3,112,713
Total liabilities	12,279,074	11,233,815
NET POSITION		
Net investment in capital assets	86,189,825	79,386,460
Restricted for debt service	-	-
Unrestricted	38,836,118	44,850,545
Total net position	$ 125,025,943	$ 124,237,005

See notes to financial statements.

Combined System		Total	
2023	2022	2023	2022
$ 5,811,351	$ 8,315,602	$ 47,104,939	$ 53,051,603
6,464,766	12,249,621	15,260,050	23,043,575
2,396,711	2,656,258	8,566,484	8,885,617
25,750	10,445	101,542	38,140
15,682,765	12,993,681	-	-
2,257,035	2,433,475	11,388,055	8,455,532
32,638,378	38,659,082	82,421,070	93,474,467
-	47,471	1,332,500	1,316,446
15,492,515	8,124,574	30,727,924	12,246,188
-	-	204,271,391	208,964,121
35,899,108	36,611,265	35,899,108	36,611,265
56,623,814	57,316,138	56,623,814	57,316,138
68,538,647	68,974,297	68,538,647	68,974,297
13,501,156	3,904,399	13,501,156	3,904,399
(91,556,941)	(83,851,201)	(232,052,462)	(225,338,958)
98,498,299	91,079,472	177,509,578	162,677,450
-	-	15,866,333	15,866,333
-	-	(8,687,787)	(8,077,851)
98,498,299	91,079,472	184,688,124	170,465,932
98,498,299	91,126,943	186,020,624	171,782,378
131,136,677	129,786,025	268,441,694	265,256,845
3,257,027	3,701,624	11,980,140	11,530,881
225,244	313,494	573,196	597,642
(880)	(1,461)	(880)	(1,461)
203,554	223,068	232,102	230,765
558,805	562,215	558,805	562,215
137,693	137,007	137,693	137,007
4,381,443	4,935,947	13,481,056	13,057,049
1,776,624	1,679,375	3,450,622	3,286,808
-	-	30,386	93,727
-	-	1,475,077	1,411,553
8,911,672	9,759,365	8,911,672	9,759,365
10,688,296	11,438,740	13,867,757	14,551,453
15,069,739	16,374,687	27,348,813	27,608,502
89,448,934	81,183,100	175,638,759	160,569,560
-	47,471	-	47,471
26,618,004	32,180,767	65,454,122	77,031,312
$ 116,066,938	$ 113,411,338	$ 241,092,881	$ 237,648,343

CITY OF HASTINGS, NEBRASKA
UTILITY DEPARTMENTS

STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

For the years ended September 30,

	Electric Fund	
	2023	2022
Operating revenues	$ 56,018,465	$ 62,662,440
Operating expenses (non-depreciation)	(53,479,842)	(54,687,418)
Operating income before depreciation	2,538,623	7,975,022
Less depreciation	(3,959,987)	(5,693,616)
Operating income (loss)	(1,421,364)	2,281,406
Nonoperating revenues (expenses):		
Interest income	1,787,917	197,084
Payments in lieu of taxes	(2,221,768)	(2,534,343)
Participation and capacity agreement	1,547,329	665,627
Allocated administration interest and other revenue	-	-
Miscellaneous income	683,119	566,240
Net coal sales	1,356,686	1,803,612
Interest and amortization expense	-	-
Non-utility plant depreciation expense	(609,936)	(609,936)
Miscellaneous expenses	(255,311)	(245,212)
Loss on disposal of assets	(247,900)	-
Contributions in aid of construction	170,166	202,503
Total other income (expenses)	2,210,302	45,575
Change in net position	788,938	2,326,981
Net position - beginning of year	124,237,005	121,910,024
Net position - end of year	$ 125,025,943	$ 124,237,005

See notes to financial statements.

Combined System		Total	
2023	2022	2023	2022
$ 28,312,834	$ 24,543,586	$ 84,331,299	$ 87,206,026
(21,973,119)	(17,369,716)	(75,452,961)	(72,057,134)
6,339,715	7,173,870	8,878,338	15,148,892
(2,566,034)	(4,552,888)	(6,526,021)	(10,246,504)
3,773,681	2,620,982	2,352,317	4,902,388
-	3,615	1,787,917	200,699
(1,745,822)	(1,498,359)	(3,967,590)	(4,032,702)
-	-	1,547,329	665,627
804,466	252,646	804,466	252,646
126,163	112,024	809,282	678,264
-	-	1,356,686	1,803,612
(110,682)	(131,070)	(110,682)	(131,070)
-	-	(609,936)	(609,936)
(68,492)	(86,707)	(323,803)	(331,919)
(194,287)	-	(442,187)	-
70,573	115,326	240,739	317,829
(1,118,081)	(1,232,525)	1,092,221	(1,186,950)
2,655,600	1,388,457	3,444,538	3,715,438
113,411,338	112,022,881	237,648,343	233,932,905
$ 116,066,938	$ 113,411,338	$ 241,092,881	$ 237,648,343

CITY OF HASTINGS, NEBRASKA
UTILITY DEPARTMENTS

STATEMENTS OF CASH FLOWS

For the years ended September 30,

	2023		
	Electric Fund	Combined System	Total
CASH FLOWS FROM OPERATING ACTIVITIES:			
Receipts from customers	$ 67,524,396	$ 29,434,518	$ 96,958,914
Payments to suppliers	(54,189,285)	(13,836,695)	(68,025,980)
Payments to employees	(9,468,783)	(8,220,293)	(17,689,076)
Net cash provided by operating activities	3,866,328	7,377,530	11,243,858
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES:			
Increase in due to/from other funds	2,689,084	(2,689,084)	-
Decrease in due from City of Hastings	-	-	-
Payments in lieu of tax to City of Hastings	(2,221,768)	(1,745,822)	(3,967,590)
Net cash provided (used) by noncapital financing activities	467,316	(4,434,906)	(3,967,590)
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:			
Purchase of capital assets	(12,016,163)	(10,401,886)	(22,418,049)
Contributions in aid of construction	170,166	70,573	240,739
Sale of capital assets	394,975	24,525	419,500
Principal payments on capital debt	-	(847,007)	(847,007)
Interest paid on capital debt	-	(110,101)	(110,101)
Net cash used by capital and related financing activities	(11,451,022)	(11,263,896)	(22,714,918)
CASH FLOWS FROM INVESTING ACTIVITIES:			
(Increase) decrease in investments	1,998,670	5,784,855	7,783,525
Interest income received	1,739,820	(15,305)	1,724,515
Net cash provided (used) by investing activities	3,738,490	5,769,550	9,508,040
Increase (decrease) in cash and cash equivalents	(3,378,888)	(2,551,722)	(5,930,610)
Cash and cash equivalents - beginning of the year	46,004,976	8,363,073	54,368,049
Cash and cash equivalents - end of the year	$ 42,626,088	$ 5,811,351	$ 48,437,439
Cash and cash equivalents consists of:			
Cash and cash equivalents	$ 41,293,588	$ 5,811,351	$ 47,104,939
Restricted cash and cash equivalents	1,332,500	-	1,332,500
Total cash and cash equivalents	$ 42,626,088	$ 5,811,351	$ 48,437,439

See notes to financial statements.

	2022	
Electric Fund	Combined System	Total
$ 74,132,142	$ 25,845,875	$ 99,978,017
(57,106,433)	(9,606,829)	(66,713,262)
(9,234,268)	(8,441,162)	(17,675,430)
7,791,441	7,797,884	15,589,325
2,235,885	(2,235,885)	-
-	6,425	6,425
(2,534,343)	(1,498,359)	(4,032,702)
(298,458)	(3,727,819)	(4,026,277)
(4,450,494)	(8,247,579)	(12,698,073)
202,503	115,326	317,829
-	-	-
-	(832,814)	(832,814)
-	(156,167)	(156,167)
(4,247,991)	(9,121,234)	(13,369,225)
1,955	(8,296,744)	(8,294,789)
174,522	(4,434)	170,088
176,477	(8,301,178)	(8,124,701)
3,421,469	(13,352,347)	(9,930,878)
42,583,507	21,715,420	64,298,927
$ 46,004,976	$ 8,363,073	$ 54,368,049
$ 44,736,001	$ 8,315,602	$ 53,051,603
1,268,975	47,471	1,316,446
$ 46,004,976	$ 8,363,073	$ 54,368,049

CITY OF HASTINGS, NEBRASKA
UTILITY DEPARTMENTS

STATEMENTS OF CASH FLOWS, Continued

For the years ended September 30,

	2023		
	Electric Fund	Combined System	Total
Reconciliation of operating income (loss) to net cash provided by operating activities:			
Operating income (loss)	$ (1,421,364)	$ 3,773,681	$ 2,352,317
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:			
Depreciation expense	4,569,923	2,764,247	7,334,170
Participation and capacity agreements	1,547,329	-	1,547,329
Miscellaneous income, net of expenses	1,174,558	862,137	2,036,695
(Increase) decrease in assets:			
Accounts receivable	59,586	259,547	319,133
Inventory	(3,108,963)	176,440	(2,932,523)
Increase (decrease) in liabilities:			
Accounts payable	893,856	(444,597)	449,259
Accrued expenses	151,403	(10,515)	140,888
Customer deposits	-	(3,410)	(3,410)
Net cash provided by operating activities	$ 3,866,328	$ 7,377,530	$ 11,243,858

See notes to financial statements.

	2022		
	Electric Fund	Combined System	Total
$	2,281,406	$ 2,620,982	$ 4,902,388
	6,331,638	4,673,622	11,005,260
	665,627	-	665,627
	1,514,704	277,963	1,792,667
	251,338	1,024,326	1,275,664
	(2,690,229)	(413,084)	(3,103,313)
	(743,634)	155,980	(587,654)
	180,591	(517,865)	(337,274)
	-	(24,040)	(24,040)
$	7,791,441	$ 7,797,884	$ 15,589,325

CITY OF HASTINGS, NEBRASKA
ELECTRIC DEPARTMENT

STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

For the years ended September 30,

	2023	2022
Operating revenues:		
Retail	$ 36,791,517	$ 36,219,605
SPP market sales	17,117,058	23,735,296
Wholesale	2,109,890	2,707,539
Total operating revenues	56,018,465	62,662,440
Operating expenses:		
Production expenses:		
Fuel	6,725,009	6,597,458
Other	9,238,982	6,154,435
Purchased power	14,697,132	14,603,575
SPP market purchases	11,977,421	17,406,311
Transmission and distribution expense	2,372,404	1,704,542
General and administrative expenses:		
Direct	4,912,336	4,570,256
Indirect	3,556,558	3,650,841
Depreciation	3,959,987	5,693,616
Total operating expenses	57,439,829	60,381,034
Operating income (loss)	(1,421,364)	2,281,406
Other income (expenses)		
Interest income	1,787,917	197,084
Payments in lieu of taxes	(2,221,768)	(2,534,343)
Reimbursement from PPGA	6,141,864	5,932,198
Cost of services to PPGA	(6,141,864)	(5,932,198)
Participation and capacity agreements	1,547,329	665,627
Miscellaneous income	683,119	566,240
Coal sales	3,939,280	4,909,447
Cost of coal resold	(2,582,594)	(3,105,835)
Non-utility plant depreciation expense	(609,936)	(609,936)
Loss on asset disposals	(247,900)	-
Miscellaneous expenses	(255,311)	(245,212)
Contributions in aid of construction	170,166	202,503
Total other income (expenses)	2,210,302	45,575
Change in net position	788,938	2,326,981
Net position - beginning of year	124,237,005	121,910,024
Net position - end of year	$ 125,025,943	$ 124,237,005

CITY OF HASTINGS, NEBRASKA
COMBINED SYSTEMS

DEPARTMENTAL STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

For the years ended September 30,

	2023		
	Gas	Water	Pollution Control
Operating revenue	$ 12,714,824	$ 7,893,241	$ 7,704,769
Operating expenses (non-depreciation)	(12,880,489)	(4,960,636)	(4,131,994)
Operating income before depreciation	(165,665)	2,932,605	3,572,775
Less depreciation	(78,312)	(741,452)	(1,746,270)
Operating income (loss)	(243,977)	2,191,153	1,826,505
Other income (expenses)			
Interest income	-	-	-
Payments in lieu of taxes	(834,525)	(605,083)	(306,214)
Allocation of administration department revenue	333,853	230,158	240,455
Reimbursement from PPGA	-	926	-
Cost of services to PPGA	-	(926)	-
Miscellaneous income	30,524	59,319	36,320
Interest and amortization expense	-	(10,900)	(99,782)
Loss on disposal of assets	(71,037)	(123,250)	-
Miscellaneous expenses	(32,527)	(30,421)	(5,544)
Contributions in aid of construction	-	56,157	14,416
Total other income (expenses)	(573,712)	(424,020)	(120,349)
Change in net position	$ (817,689)	$ 1,767,133	$ 1,706,156
Net position - beginning of year			
Net position - end of year			

2023			2022
Administration		Total	Total
$ -		$ 28,312,834	$ 24,543,586
-		(21,973,119)	(17,369,716)
-		6,339,715	7,173,870
-		(2,566,034)	(4,552,888)
-		3,773,681	2,620,982
-		-	3,615
-		(1,745,822)	(1,498,359)
-		804,466	252,646
-		926	3,607
-		(926)	(3,607)
-		126,163	112,024
-		(110,682)	(131,070)
-		(194,287)	-
-		(68,492)	(86,707)
-		70,573	115,326
-		(1,118,081)	(1,232,525)
$ -		2,655,600	1,388,457
		113,411,338	112,022,881
		$ 116,066,938	$ 113,411,338

CITY OF HASTINGS, NEBRASKA
COMBINED SYSTEM - GAS DEPARTMENT

STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

For the years ended September 30,

	2023	2022
Operating revenues:		
Retail	$ 12,714,824	$ 9,467,945
Operating expenses:		
Production expenses:		
Fuel	9,297,324	6,305,511
Other	242,020	59,744
Transmission and distribution expense	1,280,117	1,152,720
General and administrative expenses:		
Direct	1,229,157	1,007,963
Indirect	829,571	794,148
Intra-city services	2,300	25,625
Depreciation	78,312	1,662,045
Total operating expenses	12,958,801	11,007,756
Operating loss	(243,977)	(1,539,811)
Other income (expenses)		
Payments in lieu of taxes	(834,525)	(618,194)
Allocation of administration department revenue	333,853	102,549
Miscellaneous income	30,524	20,416
Loss on disposal of assets	(71,037)	-
Miscellaneous expenses	(32,527)	(56,595)
Total other income (expenses)	(573,712)	(551,824)
Change in net position	$ (817,689)	$ (2,091,635)

CITY OF HASTINGS, NEBRASKA
COMBINED SYSTEM - WATER DEPARTMENT

STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

For the years ended September 30,

	2023	2022
Operating revenues:		
Retail	$ 7,841,940	$ 7,480,901
Wholesale	51,301	53,085
Total operating revenues	7,893,241	7,533,986
Operating expenses:		
Production expenses:	777,765	744,208
Operating of water treatment	745,569	675,403
Transmission and distribution expense	1,222,689	1,059,046
General and administrative expenses:		
Direct	1,203,828	1,004,120
Indirect	1,010,785	934,805
Depreciation	741,452	944,965
Total operating expenses	5,702,088	5,362,547
Operating income	2,191,153	2,171,439
Other income (expenses):		
Payments in lieu of taxes	(605,083)	(578,499)
Allocation of administration department revenue	230,158	70,387
Reimbursement from PPGA	926	3,607
Cost of services to PPGA	(926)	(3,607)
Miscellaneous income	59,319	53,852
Interest and amortization expense	(10,900)	(12,757)
Loss on disposal of assets	(123,250)	-
Miscellaneous expenses	(30,421)	(23,982)
Contributions in aid of construction	56,157	68,122
Total other income (expenses)	(424,020)	(422,877)
Change in net position	$ 1,767,133	$ 1,748,562

CITY OF HASTINGS, NEBRASKA
COMBINED SYSTEM - POLLUTION CONTROL DEPARTMENT

STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

For the years ended September 30,

	2023	2022
Operating revenues:		
Retail	$ 7,704,769	$ 7,541,655
Operating expenses:		
Sewer treatment expenses	1,635,242	1,465,590
Sewer line expenses	610,125	516,108
General and administrative expenses:		
Direct	1,013,164	780,787
Indirect	873,463	843,938
Depreciation	1,746,270	1,945,878
Total operating expenses	5,878,264	5,552,301
Operating income	1,826,505	1,989,354
Other income (expenses)		
Interest income	-	3,615
Payments in lieu of taxes	(306,214)	(301,666)
Allocation of administration department revenue	240,455	79,710
Miscellaneous income	36,320	37,756
Interest and amortization expense	(99,782)	(118,313)
Miscellaneous expenses	(5,544)	(6,130)
Contributions in aid of construction	14,416	47,204
Total other income (expenses)	(120,349)	(257,824)
Change in net position	$ 1,706,156	$ 1,731,530

CITY OF HASTINGS, NEBRASKA
COMBINED SYSTEM - ADMINISTRATION

STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

For the years ended September 30,

	2023	2022
General and administrative expenses	$ 8,963,266	$ 8,664,823
Depreciation	198,213	91,406
Loss on disposal of assets	4,136	-
Less: Overhead allocated	(1,703,244)	(1,607,890)
Reimbursement from PPGA	(1,191,994)	(924,607)
Allocable expenses	6,270,377	6,223,732
Allocation of expenses to operating departments:		
Electric	(3,556,558)	(3,650,841)
Gas	(829,571)	(794,148)
Water	(1,010,785)	(934,805)
Pollution control	(873,463)	(843,938)
Total allocation	(6,270,377)	(6,223,732)
Operating expenses	-	-
Other income:		
Interest income	644,729	74,604
Miscellaneous income	159,737	178,042
Total other income	804,466	252,646
Allocation of other income to operating departments:		
Gas	(333,853)	(102,549)
Water	(230,158)	(70,387)
Pollution control	(240,455)	(79,710)
Total allocation	(804,466)	(252,646)
Change in net position	$ -	$ -